

SOURCEBOOK

COBS Conduct of Business Sourcebook

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CHAPTER

COBS 9B Targeted support

Section : COBS 9B.1 Purpose

COBS 9B.1.1

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- (1) This chapter sets out the framework for the provision of *targeted support services*.
- (2) The purpose of the framework for *targeted support services* is to enable *firms* to provide support to *clients*:
- (a) in relation to decisions about investments and pensions;
 - (b) at scale;
 - (c) on the basis of limited information and not a comprehensive consideration of a *client's* characteristics or circumstances;
 - (d) in situations involving a shared financial support need or objective;
 - (e) through the delivery of a *ready-made suggestion* by reference to the *client's* alignment with a pre-defined *consumer segment*; and
6. (f) that is designed to put them in a better position than if they had not received a *targeted support service* from the *firm*.
- (2) A *firm*:
- (a) should design its *targeted support service* to be provided only where the *firm* has reasonable grounds to consider that the provision of such *targeted support service* would put individuals for whom that *targeted support service* is designed in a better position than if that support were not provided; and
 - (b) is required to ensure that any *ready-made suggestion* developed to deliver on that purpose is suitable for an individual in the *consumer segment* for which it is developed (*COBS 9B.4.20R*).

COBS 9B.1.2

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The cross-cutting obligations under *Principle 12* (Consumer Duty) do not require a *firm* to provide a *targeted support service* (whether reactively or proactively).

COBS 9B.1.3

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Notwithstanding the more limited nature of a *targeted support service*, as compared with other types of advice, *firms* are reminded of their obligation not to seek to exclude or restrict any duty or liability they may have to a *client* under the *regulatory system* (*COBS 2.1.2R*).

Section : COBS 9B.2 Application

Who? What?

COBS 9B.2.1	R	(1) This chapter (other than <i>COBS 9B.9</i>) applies to a <i>firm providing targeted support</i> in relation to: (a) a <i>designated investment</i> other than a <i>pure protection contract</i>; or (b) a <i>structured deposit</i>. (2) <i>COBS 9B.9</i> applies to a <i>firm</i> that is an <i>issuer</i> or product provider.
COBS 9B.2.2	G	Notwithstanding <i>COBS 9B.2.1R</i>, <i>COBS 9B.4</i> includes restrictions on certain types of <i>ready-made suggestion</i>. The effect of these restrictions is that certain types of recommendation may not be made by a <i>firm providing targeted support</i>.
COBS 9B.2.3	R	A <i>firm</i> must not <i>provide targeted support</i> in relation to <i>safeguarded benefits</i>.
COBS 9B.2.4	G	<i>Providing targeted support</i> is not permitted business of <i>appointed representatives</i>.
COBS 9B.2.5	R	(1) This <i>rule</i> applies to a <i>firm providing targeted support</i> in relation to a type of <i>specified investment</i> that is beyond the scope of application of this chapter. (2) In <i>providing targeted support</i>, a <i>firm</i> in (1) must comply with the <i>rules</i> which would apply to that <i>firm</i> if it were <i>advising on investments</i>.
COBS 9B.2.6	G	(1) The <i>regulated activity</i> of <i>providing targeted support</i> applies to recommendations relating to <i>securities</i>, <i>structured deposits</i> and <i>relevant investments</i>. It therefore applies to a broader range of <i>specified investments</i> than those to which the <i>rules</i> in this chapter apply (<i>COBS 9B.2.1R</i>). (2) For this reason, the <i>Handbook</i> distinguishes between: (a) <i>providing targeted support</i>, which refers to the <i>regulated activity</i> in article 55A of the <i>Regulated Activities Order</i>; and (b) the provision of a <i>targeted support service</i>, which refers to the provision of a service to which the <i>rules</i> in this chapter apply. (3) The definition of <i>personal recommendation</i> does not include a recommendation made by a <i>firm</i> carrying on the <i>regulated activity</i> of <i>providing targeted support</i> other than: (a) in relation to a type of <i>specified investment</i> to which the <i>rules</i> in this chapter do not apply; and (b) for the purpose of the definition of <i>investment service</i> (and related definitions). (4) The effect of (3), <i>COBS 9B.2.5R</i> and similar provisions in <i>ICOB 1 Annex 1 Part 2 6.1R</i> and <i>FPCOB 1 Annex 1 3.1R</i> is that a <i>firm</i> carrying on the <i>regulated activity</i> of <i>providing targeted support</i> in relation to a type of <i>specified investment</i> to which the <i>rules</i> in this chapter do not apply must comply with the relevant <i>rules</i> applicable to <i>advice on</i>

investments and the provision of *personal recommendations*.

(5) For example, a *firm* carrying on the *regulated activity* of *providing targeted support* in relation to a *general insurance contract* would need to comply with the *rules* applicable to a *firm advising on investments* in relation to such contracts in *ICOBS*.

Where?

COBS 9B.2.7

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This chapter applies in accordance with the general territorial scope of this sourcebook.

Guidance

COBS 9B.2.8

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(1) A *firm* may provide support to a *consumer* in accordance with the framework set out in this chapter but that does not amount to the *firm* providing a *targeted support service*. This may be because, for example, the suggestion made to the *consumer* does not involve a recommendation in relation to a particular investment.

(2) A *firm* providing support in the manner described in (1) should ensure that the *consumer* understands the nature of the support they are receiving (and see *COBS 9B.6.1R(2)*).

(3) Alternatively, in providing a *targeted support service*, a *firm* may specify a *ready-made suggestion* incorporating elements which:

- (a) provided in isolation, would not involve the *firm* providing a *targeted support service*; and
- (b) are sufficiently closely connected to the *targeted support service* as to be integral to the recommendation as a whole.

Where this is the case, the *firm* should consider whether it would be appropriate to treat the elements of the recommendation that do not amount to a *targeted support service* as forming part of the *ready-made suggestion* and design and deliver the full *ready-made suggestion* in accordance with the *rules* in this chapter.

(4) *Firms* should consider *COBS 9B.4.38R* when giving information in relation to pension consolidation in the course of providing a *targeted support service*. *Firms* are able to provide *targeted support services* where a *client* has multiple pension pots to support that *client* with a decision, or decisions, that do not rely on those pension pots being consolidated (for example, to support that *client* with a decision in relation to their options at retirement). The effect of *COBS 9B.4.38R* is that a *firm* must not provide information or support in relation to pension consolidation which is sufficiently closely connected to the *targeted support service* as to be integral to the recommendation as a whole such as to amount to an express or implied recommendation to consolidate pension pots.

Section : COBS 9B.3 General provisions

Overview of targeted support

- COBS 9B.3.1** G A *targeted support service* involves the delivery of *ready-made suggestions* to *clients* in situations involving a shared financial support need or objective, by reference to the *client's* alignment with a pre-defined *consumer segment*.
- COBS 9B.3.2** G The nature of a *targeted support service* means that it may involve:
- (1) the provision of an *investment service* within the scope of *MiFID* (for example, where the *ready-made suggestion* is in respect of one or more transactions relating to *financial instruments*); or
 - (2) *insurance distribution activity* (for example, where the *ready-made suggestion* is in relation to a *life policy*).
- COBS 9B.3.3** G
- (1) The provision of a *targeted support service* to which the *rules* in this chapter apply is not subject to the suitability requirements in *COBS 9* or *COBS 9A*.
 - (2) *Principle 9* applies to a *firm providing targeted support* and requires that a *firm* take reasonable care to ensure the suitability of its advice for any *customer* who is entitled to rely on its judgement.

Client categorisation

- COBS 9B.3.4** R A *firm* must treat a *client* to whom it provides a *targeted support service* as a *retail client* in relation to the provision of that service even if it would otherwise be categorised as a *professional client* or *eligible counterparty* for other purposes.
- COBS 9B.3.5** G
- (1) The effect of *COBS 9B.3.4R* is that, in relation to its provision of a *targeted support service*, a *firm* must apply other parts of the *Handbook* on the basis that the *client* is a *retail client*.
 - (2) *COBS 9B.3.4R* does not prevent a *firm* from categorising a *client* differently for other purposes (*COBS 3.7.7G*).

Interpretation

- COBS 9B.3.6** R Unless the context otherwise requires, in this chapter:
- (1) 'individual' is used in relation to the design of *consumer segments* to refer to a notional natural *person* by reference to whom a *consumer segment* is defined; and
 - (2) '*client*' is used in relation to the delivery of *ready-made suggestions* to refer to a natural *person* to whom a *firm* provides, intends to provide or has provided, a *ready-made suggestion*.

General requirements

- COBS 9B.3.7** R A *firm* must:

- (1) in its design of its *targeted support service*, act with due skill, care and diligence in:
 - (a) identifying those situations, involving shared financial support needs or objectives, for which to specify *ready-made suggestions*;
 - (b) defining *consumer segments*; and
 - (c) specifying suitable *ready-made suggestions* that meet the shared financial support need or objective of the *consumer segment* for which they are designed;
- (2) in its delivery of its *targeted support service*, act with due skill, care and diligence in:
 - (a) establishing whether a *client* aligns with a *consumer segment*; and
 - (b) communicating with *clients*, including in relation to the nature and limitations of the *targeted support service*; and
- (3) always conduct itself in a manner that is consistent with its obligation to act in good faith towards *retail customers* (*PRIN 2A.2.1R*).

Customers with characteristics of vulnerability

COBS 9B.3.8

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- (1) FG21/1 (Guidance for firms on the fair treatment of vulnerable customers: <https://www.fca.org.uk/publication/finalised-guidance/fg21-1.pdf>) is relevant to *firms'* relationships with their *clients*, including in the design and delivery of *targeted support services*.
- (2) *Firms* also need to consider their obligations under the Equality Act 2010 (or equivalent legislation in Northern Ireland). *Principle 12* and *PRIN 2A* support existing legal requirements, such as those in the Equality Act 2010, by requiring *firms* to monitor whether any group of *retail customers* is experiencing different outcomes than other *customers* and take appropriate action where they do.

Section : COBS 9B.4 Design of targeted support service

Introduction

COBS 9B.4.1

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- (1) *Targeted support services* involve the delivery of *ready-made suggestions* to *clients* by reference to the *client's* alignment with a pre-defined *consumer segment*.
- (2) This section contains *rules* and *guidance* relating to the design of a *firm's targeted support service* by reference to the definition of *consumer segments* and allocation to those *consumer segments* of *ready-made suggestions*.

COBS 9B.4.2

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- (1) A *firm* designing its *targeted support service* will be a *manufacturer* of that service (and, when providing it, will be a *distributor* of that service). Beyond the requirements in this section, a *firm* will also be subject to *rules* elsewhere in the *Handbook*.
- (2) For *manufacturers* of services, relevant *rules* include those set out in *PRIN 2A.3* (Consumer Duty: retail customer outcome – products and services) and *PRIN 2A.4* (Consumer Duty: retail customer outcome on price and value).
- (3) Where a *firm* recommends a product as part of a *targeted support service*, the *firm* will be a *distributor* in relation to that product and the relevant requirements on *distributors* in *PRIN 2A.3*, *PRIN 2A.4*, *PROD 3* and/or *PROD 4* will also apply. The arrangements the *firm* has in place should enable the *firm* to obtain all necessary information from the product *manufacturer* to understand the product throughout its life cycle.

COBS 9B.4.3

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In the *FCA's* view, the following are particularly relevant considerations for a *firm* in the design of its *targeted support service*:

- (1) in identifying the situations for which to develop *ready-made suggestions*, the prevalence of the situation among its *clients* (including potential *clients*);
- (2) in defining *common characteristics*, the ease with which a *firm* would be able to identify a particular *client* as aligning with a *consumer segment*; and
- (3) in specifying *ready-made suggestions*, the ease with which such a suggestion may be communicated to the *firm's clients*.

Consumer segments

COBS 9B.4.4

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For the purposes of this chapter, a *consumer segment* is a group of individuals defined by reference to:

- (1) a situation involving a shared financial support need or objective; and
- (2) where relevant, *common characteristics*.

COBS 9B.4.5

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Before a *firm* provides a *ready-made suggestion* to a *client*, it must have:

- (1) defined one or more *consumer segments*; and
- (2) specified a single *ready-made suggestion* for each *consumer segment*.

COBS 9B.4.6

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- (1) The *rules* in this section afford *firms* a degree of flexibility in the way that they define their *consumer segments*.
- (2) In defining its *consumer segments*, a *firm* may choose to:
- (a) identify the situation (involving a shared financial support need or objective) with which to support *clients* before, where relevant, defining groups of individuals with *common characteristics* for the purposes of specifying *ready-made suggestions* to meet that need or objective; or
 - (b) undertake that exercise concurrently.
- (3) A *firm* might reasonably conclude that it is sufficient to define a *consumer segment* by reference only to a situation involving a shared financial support need or objective. For example, a *firm* might identify a situation in which *clients* are invested in a product where an equivalent product charging lower fees is available and the shared financial support need of those *clients* would be to invest in that equivalent product. In this case, a *firm* may determine that a *ready-made suggestion* could be defined without the need to consider any *common characteristics* of *clients*. This explains the reference to a *consumer segment* being defined by reference to *common characteristics*, where relevant, in *COBS 9B.4.4R*.
- (4) Where a *firm* identifies changes in the shared needs or objectives or characteristics of its *clients*, *COBS 9B.4.5R* does not preclude that *firm*, at any time, from:
- (a) defining additional *consumer segments*;
 - (b) modifying existing *consumer segments*; or
 - (c) retiring existing *consumer segments* (provided always that the *firm* maintains at least one *consumer segment* before providing a *ready-made suggestion*).

COBS 9B.4.7

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A *firm* must ensure that, in a particular situation, it is only possible for an individual to align with 1 *consumer segment*.

Granularity of consumer segments

COBS 9B.4.8

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COBS 9B.1.1G explains that the framework for *targeted support services* is designed to enable *firms* to provide support to *clients* on the basis of limited information and not a comprehensive consideration of a *client's* characteristics or circumstances. *COBS 9B.4.9R* requires *firms* to design *consumer segments* at a level of detail that is both:

- (1) sufficient to ensure that *clients* receive suitable recommendations; and
- (2) appropriate to the nature of a *targeted support service* and supports *clients'* understanding of the service they are receiving.

COBS 9B.4.9

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A *firm* must:

- (1) define a *consumer segment* at a level of detail that is sufficiently granular as to enable the *firm* to assess whether a *ready-made suggestion* would be suitable for an individual within that *consumer segment*; and
- (2) not define a *consumer segment* at a level of detail that a *firm* in the business of providing investment advice would reasonably associate with a comprehensive

consideration of a person's characteristics or circumstances.

COBS 9B.4.10

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(1) An example of when a *consumer segment* would not be at a sufficiently granular level is if the *common characteristics* used to define the *consumer segment* did not enable the *firm* to determine whether a *ready-made suggestion* was suitable for an individual in that *consumer segment*. This could be because the *consumer segment* was defined by reference to:

- (a) an insufficient number of *common characteristics*; or
- (b) *common characteristics* which were not relevant to determining the suitability of a *ready-made suggestion* to address the shared financial support need or objective of individuals for whom the *consumer segment* was designed.

(2) *COBS 9B.4.11R* enables *firms* to apply reasonable assumptions to *consumer segments* with a view to limiting, where appropriate, the level of detail in the specification of *consumer segments* and supporting compliance with *COBS 9B.4.9R*.

Assumptions about consumer segments

COBS 9B.4.11

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(1) This *rule* applies to a *firm* that makes assumptions about individuals in a *consumer segment*.

(2) A *firm* must ensure that any assumptions are reasonable and referable to evidence about the type of individuals covered by the *consumer segment*.

General data protection regulation

COBS 9B.4.12

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Firms are reminded of their obligation to comply with the principles of data minimisation and data accuracy in Article 5(1)(c) and (d) of the *General data protection regulation* respectively.

Application of client's best interests rule and the Consumer Duty

COBS 9B.4.13

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Beyond *COBS 9B.4.9R*, the *client's* best interests *rule*, *Principle 12* and the *rules* in *PRIN 2A* mean it is unlikely to be appropriate to provide a *targeted support service* in situations which would require the *firm* to obtain a level of information about a *client* that would be likely to lead that *client* to consider that they were receiving advice based on a comprehensive consideration of their characteristics or circumstances (for example, because the complexity of the shared financial support need or objective necessitated more complex advice).

Situations

COBS 9B.4.14

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(1) In identifying the situations to be met through the provision of a *targeted support service*, *firms* should have regard to:

- (a) the circumstances commonly encountered by their *clients* (including potential clients) and whether these can reasonably be expected to be met through the provision of a *targeted support service* in compliance with the *rules* in this chapter; and
- (b) the purpose of a *targeted support service* (*COBS 9B.1.1G*).

(2) A *firm* may define multiple *consumer segments* which reference the same situation.

(3) A *firm* is able to determine the range of situations in which it will provide a *targeted support service*. In specifying that a *firm* must define at least one *consumer segment*, the *FCA* recognises that a *firm* could provide a *targeted support service* for only one particular group of individuals in one situation.

Common characteristics

COBS 9B.4.15

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(1) Where relevant, the *common characteristics* by reference to which a *consumer segment* is defined refer to those characteristics which a *client* must either have (in the case of *including characteristics*) or not have (in the case of *excluding characteristics*) in order to be aligned with a *consumer segment*.

(2) *COBS 9B.4.6G(3)* explains why common characteristics will not always be relevant in defining a *consumer segment*.

COBS 9B.4.16

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To the extent that *common characteristics* are relevant to the definition of a *consumer segment*, they must:

(1) include both:

(a) *including characteristics*; and

(b) *excluding characteristics*; and

(2) be relevant to:

(a) the shared financial support need or objective that the *consumer segment* is designed to meet (*COBS 9B.4.4R(1)*); and

(b) the *firm's* specification of a suitable *ready-made suggestion* for an individual within that *consumer segment*.

COBS 9B.4.17

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(1) A *firm* must specify, in respect of each *consumer segment*, the information which it requires about a *client* in order to identify whether that *client* aligns with the *consumer segment*.

(2) The information in (1) must enable the *firm* to determine whether the *client* has:

(a) all of the *including characteristics*; and

(b) none of the *excluding characteristics*.

COBS 9B.4.18

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When defining any *common characteristics* for a *consumer segment*, a *firm* should have regard to the factors that:

(1) (in the case of *including characteristics*) would make a suggestion suitable; and

(2) (in the case of *excluding characteristics*) could or would make a suggestion unsuitable,

for an individual within the *consumer segment*.

Excluding characteristics

COBS 9B.4.19

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(1) *Excluding characteristics* are those characteristics which are attributed to a *consumer segment* and which, if identified in a *client*, would prevent that *client* from being aligned

with the *consumer segment*.

(2) *Excluding characteristics* refer to those characteristics of an individual that would be likely to render a *ready-made suggestion* unsuitable for an individual in the situation which the *ready-made suggestion* is designed to address – for example, because that *ready-made suggestion* would be ineffective, inappropriate or unduly risky.

(3) The effect of *COBS 9B.5.5R(2)(c)* is that if a *client* is identified as having any *excluding characteristic* of a *consumer segment*, they cannot be aligned with that *consumer segment* and provided with the associated *ready-made suggestion*.

(4) Having identified the *excluding characteristics* for a *consumer segment*, a *firm* should:

(a) consider whether to define a *consumer segment* for individuals with a particular *excluding characteristic*; or

(b) where it considers that (a) is not reasonably practicable, and where appropriate, identify ways to direct the individuals with the relevant *excluding characteristic* to other forms of support. For example, a *firm* should consider signposting individuals to guidance services (such as *MoneyHelper*).

Ready-made suggestions

COBS 9B.4.20

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A *firm* must be satisfied on reasonable grounds that the *ready-made suggestion* that it specifies for a *consumer segment* is suitable for an individual in that *consumer segment*.

COBS 9B.4.21

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In specifying a *ready-made suggestion* for the purposes of *COBS 9B.4.20R*, a *firm* will need to identify a recommendation that addresses the shared financial support need, or meets the shared objective, of an individual who aligns (where relevant) with the *common characteristics* of the *consumer segment*.

COBS 9B.4.22

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(1) The *rules* in this chapter are designed so that *firms* can provide *clients* with *ready-made suggestions* without the need to undertake individual suitability assessments in the manner required by *COBS 9* and *COBS 9A*.

(2) The effect of *COBS 9B.4.20R* is that a *firm* must assess the suitability of a *ready-made suggestion* by reference to:

(a) the shared financial support need or objective of the relevant *consumer segment*; and

(b) where relevant, the *common characteristics* of the relevant *consumer segment*.

COBS 9B.4.23

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In their design of *ready-made suggestions*, *firms* are reminded of their obligation under *Principle 12* (Consumer Duty) to act to deliver good outcomes for *retail customers*.

COBS 9B.4.24

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A *firm* should be able to demonstrate how, for any product it intends to recommend by way of a *ready-made suggestion*, it has considered, at least, the following:

(1) the costs and charges of the product;

- (2) whether the target market of the product is consistent with the shared financial support need or objective of the relevant *consumer segment* and the nature of the *ready-made suggestion*; and
- (3) the financial strength of the product provider.

COBS 9B.4.25

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While a *firm* must specify a single *ready-made suggestion* in relation to a *consumer segment*, that *ready-made suggestion* may include reference to different suitable products and options which the *client* might consider.

Annuities

COBS 9B.4.26

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For the purposes of *COBS 9B.4.28R* to *COBS 9B.4.37G*, ‘annuity’ means all annuities that are *designated investments* and includes:

- (1) *pension annuities*;
- (2) *short-term annuities*; and
- (3) fixed-term annuities, unless the fixed-term annuity can be surrendered for value.

COBS 9B.4.27

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For the purposes of *COBS 9B.4.26R(3)*, a fixed-term annuity can be surrendered for value where the value is a reasonable amount and is not outweighed by the costs to the *client* to surrender the annuity. When designing surrender options for fixed-term annuities, including the circumstances in which an option can be exercised and the cost to *clients* of exercising it, *firms* are reminded of their obligations under *Principle 12* (Consumer Duty) to act to deliver good outcomes for *retail customers*, and the cross-cutting obligations under *PRIN 2A.2*.

COBS 9B.4.28

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A *firm* may only recommend an annuity as, or as part of, a *ready-made suggestion* where the following conditions are met:

- (1) the recommendation:
 - (a) does not expressly refer to a particular annuity; and
 - (b) goes no further than a recommendation relating to the features of an annuity;
- (2) the *ready-made suggestion* does not include, or is not accompanied by, any quote for an annuity (including a guaranteed quote or market-leading *pension annuity* quote, as defined in *COBS 19.9.1R(2)* and (3), or an illustrative quote); and
- (3) the *ready-made suggestion* includes a direction to the *client* to visit the comparison facility provided by the *MoneyHelper* website
[\[https://www.moneyhelper.org.uk/en/pensions-and-retirement/taking-your-pension/compare-annuities\]](https://www.moneyhelper.org.uk/en/pensions-and-retirement/taking-your-pension/compare-annuities) before taking any further step toward the purchase of an annuity.

COBS 9B.4.29

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A *firm* may provide information or guidance about annuities generally to a *client* when not *providing targeted support* and *firms* are reminded of the *guidance* in *PERG 8.28*. Where information or guidance takes on the nature of advice in the circumstances in which it is provided (see *PERG 8.28.4G* to *PERG 8.28.9G* in particular), *firms* are reminded of their

obligations under *COBS 4.2.1R* and *Principle 9*, in particular.

COBS 9B.4.30

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Firms are reminded of the *guidance* in *PERG 8.26* as to the meaning of a particular annuity for the purposes of *COBS 9B.4.28R(1)(a)*. For example, a particular annuity will include a clearly identified, available product.

COBS 9B.4.31

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For the purposes of *COBS 9B.4.28R(1)(b)*:

- (1) a *firm* can go no further than providing a recommendation relating to the features of an annuity. Subject to that limitation (and the requirement to not expressly refer to a particular annuity), a *firm* is able to provide a recommendation in relation to annuities more generally, including a recommendation to consider buying an annuity; and
- (2) a recommendation to a *client* relating to the features of an annuity should ensure the *client* aligns with a particular *consumer segment* in relation to which the features have been assessed as suitable, in accordance with *COBS 9B.4.20R* and *COBS 9B.5.5R*.

Ending the targeted support interaction

COBS 9B.4.32

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When a *firm* has provided a *ready-made suggestion* which includes a recommendation relating to an annuity in accordance with *COBS 9B.4.28R(1)* and (2) to a *client* and the *firm* has complied with *COBS 9B.4.28R(3)*, it must:

- (1) ensure that the *targeted support service* interaction with the *client* is brought to an end; and
- (2) communicate to the *client* that:
 - (a) the *targeted support service* interaction has ended; and
 - (b) any further steps taken between the *firm* and the *client* towards the purchase of an annuity would form part of a separate sales journey after the *client* had been provided with the opportunity to visit the *MoneyHelper* website as set out in *COBS 9B.4.28R(3)*.

Referrals to annuity brokerage services following the provision of targeted support

COBS 9B.4.33

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A *firm* may refer a *client* to an annuity brokerage service, but only where the following conditions are met:

- (1) the *firm* has complied with *COBS 9B.4.32R*;
- (2) the *client* has been given a reasonable opportunity to act on the direction given by the *firm* to visit the comparison facility provided by the *MoneyHelper* website in accordance with *COBS 9B.4.28R(3)*;
- (3) the particular annuity brokerage service will provide the *client* with access to a sufficient range of annuities available on the market in accordance with *COBS 9B.4.35R*; and
- (4) the referral is not accompanied by any quote for an annuity (including a guaranteed quote or market-leading *pension annuity* quote, as defined in *COBS 19.9.1R(2)* and (3), or an illustrative quote).

COBS 9B.4.34 **G** The effect of *COBS 9B.4.33R(1)* and *(2)* is that a *firm* is unable to put the *client* in touch with an annuity broker as part of the *targeted support service* interaction, for example by connecting the *client* to the broker directly during the same interaction with the *client*.

COBS 9B.4.35 **R** For the purposes of *COBS 9B.4.33R(3)*, an annuity brokerage service will provide a *client* with access to a sufficient range of annuities where:

- (1) the number and variety of annuities accessible through the brokerage service are adequately representative of annuities available on the market; and
- (2) the brokerage service can provide access to annuities which reflect the *firm's* design of the underlying *consumer segment* and associated *ready-made suggestion*.

COBS 9B.4.36 **G** *COBS 9B.4.33R(3)* and *COBS 9B.4.35R* do not require an annuity brokerage service to provide access to every annuity available on the market before a *firm* can refer a *client* to that brokerage service.

COBS 9B.4.37 **G** When referring a *client* to an annuity brokerage service, a *firm* may provide that *client* with marketing material, *financial promotions* or other communications relating to such brokerage services.

Pension consolidation

COBS 9B.4.38 **R** A *ready-made suggestion* must not include an express or implied recommendation to consolidate any of the pension arrangements that a *client* holds.

COBS 9B.4.39 **G** A recommendation to consolidate pension arrangements would require a more individualised assessment of a *client's* circumstances than *firms* are permitted to provide through a *targeted support service*. Pension consolidation includes:

- (1) transferring at least one pension arrangement into an existing pension arrangement that a *client* holds; and
- (2) transferring multiple pension arrangements held by the *client* into a new arrangement.

COBS 9B.4.40 **G** Pension consolidation does not include transferring a *client's* single pension arrangement to a new pension arrangement with a different provider.

COBS 9B.4.41 **G** *Firms* are able to provide a *targeted support service* where a *client* has multiple pension pots to support that *client* with a decision, or decisions, that do not rely on those pension pots being consolidated. For example, to support that *client* with a decision in relation to their options at retirement. The effect of *COBS 9B.4.38R* is that a *firm* must not provide such support which would amount to an express or implied recommendation to consolidate pension pots

Investments subject to restrictions on retail distribution

COBS 9B.4.42 **R** A *ready-made suggestion* must not include a recommendation to buy or subscribe for (including for the purpose of holding in a pension scheme), or become a lender under:

- (1) a *restricted mass market investment*;
- (2) a *non-mass market investment*;
- (3) an *investment* subject to a restriction on distribution or promotion in *COBS 22*; or
- (4) *deferred shares* issued by a *credit union* or *credit union subordinated debt* subject to the requirements in *CREDS 3A.5*.

COBS 9B.4.43

G

- (1) *COBS 9B.4.42R* does not prevent a *firm* from recommending a suitable *investment* which has a component part that provides exposure to an *investment* of a type referred to in that *rule*, such as a *packaged product* or a *default arrangement* in a *qualifying scheme*.
- (2) The fact that a type of *investment* is not subject to the restriction in *COBS 9B.4.42R* does not mean that it will be appropriate for it to be the subject of a *ready-made suggestion* that is provided on the basis of limited information. For example, it is unlikely to be appropriate for a *targeted support service* to be used to recommend *investments* which:
 - (a) are, or may become:
 - 1. (i) leveraged or structured in such a way that an investor could lose more than their invested capital;
 - (ii) particularly illiquid or for which market prices are not readily and regularly available; or
 - (iii) particularly volatile; or
 - (b) are otherwise designed for a narrow *target market*.
- (3) *COBS 9B.4.42R* does not prevent a *firm* from specifying a *ready-made suggestion* that recommends that a *client sells* an *investment* of a type referenced in that *rule*.

COBS 9B.4.44

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A *ready-made suggestion* may recommend an *investment* of which the *firm* providing the *targeted support service* is the manufacturer or an *investment* that is manufactured by another *person*. In either case, the *firm* providing the *targeted support service* will be a distributor for the purposes of the requirements in *PROD*.

Section : COBS 9B.5 Delivery of targeted support

General

COBS 9B.5.1 **G** This section contains *rules* and *guidance* relating to the delivery of *targeted support services* to *clients*.

COBS 9B.5.2 **G** A *firm* may provide a *targeted support service* to a *client*:

- (1) at the request of that *client*; or
- (2) at the initiative of the *firm* (but see *COBS 9B.5.3R*).

Delivery at the initiative of the firm

COBS 9B.5.3 **R** A *firm* must not initiate the provision of a *targeted support service* other than:

- (1) in response to an express request from the *client* for the provision of:
 - (a) a *targeted support service* of the type provided by the *firm*; or
 - (b) other support relating to *investments* of a type which could be met by the *firm's targeted support service*; or
- (2) where the *firm* has reasonable grounds to consider that the *client* is in a situation which may be met by the *firm's targeted support service*.

COBS 9B.5.4 **G**

- (1) A *firm* that approaches a *client* other than in compliance with *COBS 9B.5.3R* may be in breach of its obligations to the *client* under *PRIN 2A.2.1R* (Act in good faith), *PRIN 2A.2.8R* (Avoid causing foreseeable harm) and *PRIN 2A.2.14R* (Enable and support retail customers).
- (2) *COBS 9B.5.3R* does not prevent a *firm* contacting *clients* to inform them of the availability of a *targeted support service*.

Alignment with a consumer segment

COBS 9B.5.5 **R**

- (1) A *firm* must only provide a *ready-made suggestion* to a *client* where it identifies, using reasonable skill and care, that the *client* aligns with a *consumer segment*.
- (2) For the purposes of (1), a *client* aligns with a *consumer segment* where the *firm* confirms that the *client*:
 - (a) is in the situation covered by the *consumer segment*;
 - (b) (where relevant) has all of the *including characteristics* of the *consumer segment*; and
 - (c) (where relevant) has none of the *excluding characteristics* of the *consumer segment*.

COBS 9B.5.6 **G**

- (1) A *firm* may identify such alignment by reference to information which it either holds or collects about that *client* (or a combination of both).
- (2) The *rules* in this section recognise that not every *targeted support service* journey will

be the same. The *rules* afford *firms* flexibility in the way that they engage with *clients*, save that certain information must be disclosed to a *client* in connection with a *ready-made suggestion* (COBS 9B.6.3R and COBS 9B.6.5R).

COBS 9B.5.7

R

(1) A *firm* must take reasonable steps to ensure that the information about a *client* by reference to which it aligns that *client* with a *consumer segment* is accurate and up to date.

(2) Where a *firm* holds sufficient information about a *client* to indicate a possible alignment with a *consumer segment* but considers that the relevant information may not be accurate or up to date, the *firm* must verify that information with the *client* before it is able to confirm the alignment of that *client* with a *consumer segment*.

COBS 9B.5.8

G

Where a *firm* cannot align a *client* with a *consumer segment* because it does not have enough information about the *client*, the *firm* may request from that *client* such information as it requires to enable the *firm* to attempt to align the *client* with a *consumer segment*.

COBS 9B.5.9

G

(1) The *rules* in this chapter are designed so that *firms* can provide *clients* with *ready-made suggestions* without the need to undertake individual suitability assessments in the manner required by COBS 9 and COBS 9A.

(2) The effect of the requirements in this chapter is that a *client* should receive a suitable *ready-made suggestion* where:

(a) the *firm* has aligned that *client* with a *consumer segment* in accordance with the *rules* in this section; and

(b) the relevant *consumer segment* and associated *ready-made suggestion* have been specified in compliance with the *rules* in COBS 9B.4.

(3) Notwithstanding (2), it is possible that there are considerations specific to a particular *client* which are not addressed by the *common characteristics* of a *consumer segment* with which that *client* is aligned. COBS 9B.5.11R requires a *firm* to have regard to information, beyond that required to align a *client* with a *consumer segment*, which may affect the suitability of a *ready-made suggestion* for a *client*.

Consideration of additional information

COBS 9B.5.10

G

(1) The effect of COBS 9B.5.5R is that a *firm* must not provide a *client* with a *ready-made suggestion* specified for a *consumer segment* where:

(a) the *client* is not in the situation covered by the relevant *consumer segment*;

(b) (where relevant) the *client* does not align with all of the *including characteristics* of the relevant *consumer segment*; or

(c) (where relevant) any of the *excluding characteristics* of the relevant *consumer segment* apply to the *client*.

(2) COBS 9B.5.11R specifies further circumstances in which a *ready-made suggestion* must not be provided to a *client*.

COBS 9B.5.11

R

A *firm* must not provide a *client* with a *ready-made suggestion* when the *firm* is, or ought reasonably to be, aware of information about that *client* that indicates that the *ready-made suggestion* may not be suitable for that *client*.

COBS 9B.5.12

G

- (1) A *firm* ought reasonably to be aware of information which:
 - (a) is held by the *firm*;
 - (b) is relevant to the suitability of the *ready-made suggestion*; and
 - (c) is, or ought reasonably to be, readily accessible to the business area of the *firm* engaged in the provision of the *targeted support service*.
- (2) The information it would be reasonable to expect a *firm* to be aware of and have regard to in providing its *targeted support service* is likely to depend on the particular circumstances of that *targeted support service*. For example:
 - (a) the context in which the *targeted support service* is provided; and
 - (b) the nature of the situation which the *targeted support service* is designed to address.
- (3) For example, if a *client* gave the *firm* information when taking out a mortgage several years prior to receiving the *targeted support service*, it would not necessarily be reasonable to expect that such information would be readily accessible to the area of the *firm* providing the *targeted support service* to the *client*.

COBS 9B.5.13

G

- (1) *Firms* are not expected to request information from a *client* during the *targeted support service* journey other than that required for the provision of the *targeted support service*.
- (2) Where a *client* volunteers information beyond that which is requested by the *firm* during a *targeted support service* journey:
 - (a) the *firm* may terminate the *targeted support service* journey for the *client*;
 - (b) the *firm* may continue to provide a *ready-made suggestion* with which the *client* otherwise aligns if the *firm* is reasonably satisfied that the additional information does not indicate that the *ready-made suggestion* may be unsuitable for the *client*; or
 - (c) where the additional information suggests that the suitability of a *ready-made suggestion* with which the *client* otherwise aligns could be affected:
 1. (i) the *firm* should consider whether to ask for any further information necessary to enable it to decide how to proceed; and
 - (ii) if the *firm* determines that the additional information indicates that the *ready-made suggestion* may be unsuitable for the *client*, the *firm* may:
 - (A) seek to align the *client* with a different *consumer segment*; or
 - (B) terminate the *targeted support service* journey for the *client*.
- (3) The situation in (2)(c) might arise because the *client* volunteers:
 - (a) new information; or
 - (b) information which appears to conflict with other information by reference to which the *client* is aligned with a *consumer segment*.

(4) The *guidance* in *COBS 9B.7* is relevant to the situation in which a *client's* volunteering of additional information results in the termination of a *targeted support service* journey.

(5) The *firm* need not consider the additional information for a purpose other than satisfying itself as to the suitability of a *ready-made suggestion* for the *client*, unless that information is relevant to the *firm's* satisfaction of other requirements (for example, when reviewing its processes for the provision of its *targeted support service* under *COBS 9B.10.9R*).

Clients opting out of targeted support

COBS 9B.5.14

R

A *firm* must provide the means by which a *client* can, at any time, elect not to receive a *targeted support service* from the *firm*.

Client instruction inconsistent with ready-made suggestion

COBS 9B.5.15

G

In determining what steps to take where a *client* requests that a *firm* executes a transaction which is inconsistent with a *ready-made suggestion* provided by the *firm*, the *firm* should have particular regard to:

- (1) the *client's best interests rule*; and
- (2) its obligations to support *retail customer* understanding (*PRIN 2A.5.3R*) and to design and deliver support including by giving *retail customers* sufficient opportunity to understand and assess their options (*PRIN 2A.6.2R(3)*).

Section : COBS 9B.6 Disclosure

Describing the service

- COBS 9B.6.1** R (1) When a *firm* provides a *ready-made suggestion* to a *client*, it must clearly refer to the service by which the *ready-made suggestion* is provided as 'Targeted Support'.
- (2) A *firm* must only refer to a service as being a *targeted support service* when the service is one that has been designed and delivered in compliance with the *rules* in this chapter.
- COBS 9B.6.2** G *COBS 9B.6.1R(1)* does not prevent a *firm* from:
- (1) using another name for the service it provides, provided that at the point a *ready-made suggestion* is provided to a *client*, the service is clearly described as being 'Targeted Support' (such that the *client* can identify the service as such); or
- (2) referring to the service as 'Targeted Support' in communications other than when providing a *ready-made suggestion*.
- COBS 9B.6.3** R In connection with the provision of a *targeted support service* to a *client*, a *firm* must disclose to the *client* the nature and limitations of the *targeted support service* (and, therefore, any *ready-made suggestion*), including that this is not a type of investment advice that involves more comprehensive, individualised advice (for example, following a holistic review by an independent financial adviser).

Providing the ready-made suggestion

- COBS 9B.6.4** R A *firm* must ensure that any *ready-made suggestion* is communicated in a way that is likely to be understood by an individual in the relevant *consumer segment*.
- COBS 9B.6.5** R When a *firm* provides a *ready-made suggestion* to a *client*, the *firm* must clearly disclose to the *client*:
- (1) the *common characteristics* (both *including characteristics* and *excluding characteristics*) of the *consumer segment* with which the *firm* has aligned the *client*;
- (2) that the *ready-made suggestion* was designed for the *consumer segment* with which the *firm* has aligned the *client*; and
- (3) the nature of any limitations on the scope of products considered by the *firm* in developing its *ready-made suggestions* including, where applicable, that the *firm* has only considered products issued or provided by the *firm* or its *associates*.
- COBS 9B.6.6** G At the same time as a *firm providing targeted support* makes a recommendation to a *client*, the *firm* must make a statement to that *client* which specifies:
- (1) that the recommendation is not based on a comprehensive consideration by the *firm* of the *client's* characteristics or circumstances;
- (2) that the recommendation is not specific to the *client*; and

(3) the characteristics, circumstances, or both if applicable, of the group which the *firm* has used as the basis for the recommendation.

[**Note:** article 55A(4) and (5) of the *Regulated Activities Order*]

COBS 9B.6.7

G

A *firm* may satisfy elements of the disclosures required by *COBS 9B.6.3R* and *COBS 9B.6.5R* through the provision of the statement required by article 55A of the *Regulated Activities Order* (*COBS 9B.6.6G*).

Additional disclosures

COBS 9B.6.8

G

In connection with providing a *client* with a *ready-made suggestion*, a *firm* should, where appropriate:

- (1) signpost the *client* to tools or modellers that could assist the *client* in understanding the implications of the *ready-made suggestion*;
- (2) inform the *client* about the availability of guidance services (such as *MoneyHelper*) and other types of advice, including more comprehensive, individualised advice;
- (3) to support *consumer* understanding, inform the *client* about any assumptions that the *firm* has made about the individuals in the *consumer segment*;
- (4) consider encouraging the *client* to consider other products which might be available in the market before making a decision; and
- (5) consider explaining to the *client* that the *firm* only considers the *ready-made suggestion* to be suitable for the individuals in the *consumer segment* at the point in time it has been suggested, where this is the case.

Client understanding

COBS 9B.6.9

R

A *firm* must test its disclosures around the provision of its *targeted support service* and take reasonable steps to ensure consumer understanding of those disclosures.

COBS 9B.6.10

G

- (1) *Firms* are reminded of their obligations under *Principle 12* (Consumer Duty) and *PRIN 2A.5.3R* (Communications to retail customers) in relation to supporting *retail customer* understanding.
- (2) *PRIN 2A.5.3R* requires a *firm* to equip *retail customers* to make decisions that are effective, timely and properly informed.
- (3) In complying with *PRIN 2A.5.3R*, a *firm* should consider:
 - (a) whether to disclose any other relevant information (beyond that required by *COBS 9B.6.3R* and *COBS 9B.6.5R*) that would support consumer understanding of the *targeted support service* or a *ready-made suggestion*; and
 - (b) whether to disclose information separately or to consolidate information.

COBS 9B.6.11

G

A *firm* should ensure that the information required by *COBS 9B.6.3R* and *COBS 9B.6.5R* is given due prominence and presented in plain and intelligible language (*PRIN 2A.5.7G*).

Timing of disclosures

COBS 9B.6.12

G

- (1) *PRIN 2A.5.5R* requires a *firm* to communicate in good time for *retail customers* to make effective decisions, including before the purchase of a *product*.
- (2) In complying with *PRIN 2A.5.5R*, a *firm* should consider when it is appropriate to make disclosures to a *client* in connection with the provision of a *targeted support service*. It is likely to be appropriate to disclose relevant information to a *client*:
- (a) when the *firm* has initial contact with the *client* in relation to the provision of a *targeted support service*;
 - (b) where applicable, at any point at which the *firm* contacts the *client* to request, or verify the accuracy of, information for the purpose of aligning the *client* with a *consumer segment*; and
 - (c) where applicable, when the *firm* provides the *client* with a *ready-made suggestion*.
- (3) The information in *COBS 9B.6.5R* and *COBS 9B.6.6G* must necessarily be disclosed to the *client* when a *ready-made suggestion* is provided.

COBS 9B.6.13

R

- (1) This *rule* applies where another *rule* in this sourcebook (the 'relevant rule') requires a *firm* to provide information to a *client* about a *targeted support service* at a time that is incompatible with the nature of that *targeted support service*.
- (2) A *firm* must provide the information required by the relevant rule at a time that is consistent with *PRIN 2A.5.5R*.

Guidance

COBS 9B.6.14

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- (1) *Firms* are reminded of their obligations under *COBS 6.1* (Information about the firm and compensation information (non-MiFID and non-insurance distribution provisions)) and *COBS 6.1ZA* (Information about the firm and compensation information (MiFID and insurance distribution provisions)).
- (2) To the extent applicable, *firms* are reminded of their obligations under *COBS 2.2* (Information disclosure before providing services (other than MiFID and insurance distribution)) and under *COBS 2.2A* (Information disclosure before providing services (MiFID and insurance distribution provisions)).
- (3) If a *ready-made suggestion* involves a recommendation of a particular *investment*, a *firm* may be subject to requirements in:
- (a) *COBS 13* and *COBS 14* relating to product information; and
 - (b) for *consumer composite investments*, a requirement under *DISC* to provide *retail investors* with a *product summary*.
- (4) When providing information to a *client*, a *firm* should have regard to its obligation under *PRIN 2A.5.3R(2)* and *COBS 4.2.1R* to communicate information to *clients* in a way which is fair, clear and not misleading.
- (5) *COBS 9B.6.13R* recognises that *targeted support services* may be provided differently to other types of service and that it may not, for example, be possible to provide information about the service 'in good time' before the service is provided. That *rule* allows information about a *targeted support service* to be provided at a time that is

consistent with the way in which the service is provided in compliance with *PRIN 2A.5.5R*.

Financial promotions

COBS 9B.6.15

G

- (1) A *ready-made suggestion* will generally incorporate a *financial promotion*.
- (2) *Firms* are reminded of their obligations under *COBS 4* in relation to the *communication* and *approval* of *financial promotions*, including the *fair, clear and not misleading rule*.

Advised clients

COBS 9B.6.16

G

- (1) It is important that *clients* understand the nature of the support they are receiving. It is particularly important that *clients* who have recently received, or are receiving, *investment advice* (as defined in the *Handbook*) understand the ways in which a *targeted support service* differs from that *service*.
- (2) *Firms* are reminded of their obligation to support *retail customer* understanding so that *firms'* communications equip *retail customers* to make decisions that are effective, timely and properly informed (*PRIN 2A.5.3R*).
- (3) *Firms* should pay particular regard to the information needs of any *client*:
 - (a) to whom the *firm*:
 - 1. (i) has recently provided *investment advice*; or
 - (ii) is providing *investment advice of an ongoing nature*; or
 - (b) whom the *firm* is aware, or ought reasonably to be aware, is receiving, or has recently received, *investment advice* from another *person*.
- (4) Before providing a *ready-made suggestion* to a *client* in (3), a *firm* should take reasonable steps to ensure that the *client* understands the difference between a *targeted support service* and the *investment advice* already received by the *client*.

Medium of disclosures

COBS 9B.6.17

R

- (1) Unless (2) or (3) apply, a *firm* must provide the information in *COBS 9B.6.3R* and *COBS 9B.6.5R* to a *client* in a *durable medium* when it provides the *client* with a *ready-made suggestion*.
- (2) In relation to the information in *COBS 9B.6.3R*, paragraph (1) applies unless the *firm* has provided that information in a *durable medium* within a reasonable period prior to the provision of the *ready-made suggestion*.
- (3) Where it is not possible for a *firm* to provide the information in (1) in a *durable medium* when it provides the *client* with a *ready-made suggestion*, the *firm* must provide that information to the *client* in a *durable medium* as soon as reasonably practicable after it provides the *ready-made suggestion*.

COBS 9B.6.18

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- (1) The information in *COBS 9B.6.3R* and *COBS 9B.6.5R* must be communicated no later than the point at which a *ready-made suggestion* is provided, even if it cannot be provided in a *durable medium* at that point.

(2) In complying with *PRIN 2A.5.5R* (to provide information on a timely basis), a *firm* may provide the information in *COBS 9B.6.3R* before it provides a *ready-made suggestion*. It may do so in a medium that is not a *durable medium* provided that it communicates the information in a *durable medium* when it provides a *ready-made suggestion* (or as soon as reasonably practicable thereafter).

Record-keeping

COBS 9B.6.19

G

In complying with its record-keeping obligations, a *firm* should keep a record of the disclosures it makes to *clients*. This includes those made in satisfaction of the conditions in article 55A of the *Regulated Activities Order* and which provide evidence of the delivery of a recommendation by way of the *provision of targeted support*.

Section : COBS 9B.7 When a firm is unable to provide a ready-made suggestion

COBS 9B.7.1

G

- (1) A *firm* may only deliver a *ready-made suggestion* to a *client* where it has identified that the *client* aligns with a *consumer segment* (COBS 9B.5.5R).
- (2) This section sets out the steps which a *firm* should take where it is unable to provide a *client* with a *ready-made suggestion*.

Guidance

COBS 9B.7.2

G

Examples of reasons why a *firm* might be unable to provide a *client* with a *ready-made suggestion* include because the *firm* has:

- (1) been unable to identify the *client* as being in a situation covered by a *consumer segment*;
- (2) (where relevant) been unable to identify the *client* as having all of the *including characteristics* necessary to align the *client* with a *consumer segment*;
- (3) (where relevant) identified that the *client* has an *excluding characteristic* which means that they cannot be aligned with a *consumer segment*;
- (4) been unable to confirm that a *client* lacks all of the *excluding characteristics* necessary to align the *client* with a particular *consumer segment*; or
- (5) identified or received additional information which means, or has led it to conclude, that it cannot provide a *ready-made suggestion*.

COBS 9B.7.3

G

- (1) In considering the appropriate course of action in relation to a *client* whom a *firm* has been unable to align with a *consumer segment*, a *firm* should have regard to its obligation to design and deliver support to *retail customers* (PRIN 2A.6.2R).
- (2) Where a *firm* has been unable to provide a *client* with a *ready-made suggestion*, the *firm* should consider what alternative support, if any, it could usefully provide to that *client*. This may include directing the *client* to support (including *investment advice*) provided by other *persons*.
- (3) *Firms* are reminded of their obligations under *Principle 12* (Consumer Duty) and *PRIN 2A* – in particular, to act in good faith towards *retail customers* (PRIN 2A.2.1R) in a manner that is consistent with the reasonable expectations of those *retail customers* (PRIN 2A.2.2R).

Customers with characteristics of vulnerability

COBS 9B.7.4

G

FG21/1 (Guidance for firms on the fair treatment of vulnerable customers: <https://www.fca.org.uk/publication/finalised-guidance/fg21-1.pdf>) is relevant to *firms'* treatment of vulnerable *clients*, including whether to provide a *targeted support service* to a *client*.

Section : COBS 9B.8 Charging and remuneration

COBS 9B.8.1

G

- (1) A *firm* may elect whether to charge a *client* for the provision of a *targeted support service*. *Targeted support services* may be provided without explicit charge to the *client*.
- (2) The costs of providing a *targeted support service* may be met through other business lines of the *firm* or by other legal entities within the *firm's group*.
- (3) The *rules* in this section:
 - (a) prohibit, except in certain circumstances, *firms* from receiving commissions and other benefits in connection with their business of providing a *targeted support service*;
 - (b) require *firms* to ensure that *clients* understand what they will pay for a *targeted support service*; and
 - (c) require all *firms* to ensure that the arrangements by which they are remunerated for their provision of a *targeted support service* are consistent with the obligation to ensure that their *products* provide fair value (*PRIN 2A.4.2R*).
- (4) Save as specified in this section, the *rules* on adviser charging and remuneration (*COBS 6.1A*) do not apply to *firms* in relation to the provision of a *targeted support service*.

Rule against commissions

COBS 9B.8.2

R

- (1) Subject to *COBS 9B.8.3R* and *COBS 9B.8.4R*, a *firm* must not solicit or accept (and must ensure that none of its *associates* solicits or accepts) any fees, commissions, or monetary or non-monetary benefits in connection with its business of providing a *targeted support service* or any other related services which are paid or provided by:
 - (a) any third party; or
 - (b) a *person* acting on behalf of a third party.
- (2) Reference in (1) to a *firm's* business of providing a *targeted support service* refers to its activities of designing and delivering a *targeted support service*.
- (3) Paragraph (1) applies regardless of whether the *firm* intends to refund the payments or pass the benefits on to the *client*.
- (4) 'Related service(s)' for the purposes of (1) includes:
 - (a) *arranging* or *executing* a transaction which has been the subject of a *ready-made suggestion* provided by the *firm* or an *associate* or conducting administrative tasks associated with that transaction;
 - (b) managing a relationship between a *client* (to whom the *firm* provides a *targeted support service*) and a *discretionary investment manager* or providing a service to such a *client* in relation to the investments managed by such a manager; or
 - (c) recommending a *discretionary investment manager* or *person* providing *investment advice* to a *client* (to whom the *firm* provides a *targeted support service*).

Exceptions

COBS 9B.8.3

R

COBS 9B.8.2R does not prevent:

- (1) a *firm* from accepting any payment made:
 - (a) by or on behalf of a *client* (including those that facilitate the payment of a charge for the provision of a *targeted support service* from a *client's* investment); or
 - (b) by an *affiliated company* which is no more than is reasonably representative of the cost of providing the *targeted support service*; or
- (2) a *firm* or its *associates* from accepting any minor non-monetary benefits which meet the requirements of *COBS 6.1A.5AR*.

COBS 9B.8.4

R

COBS 9B.8.2R does not apply to the solicitation or acceptance of any fees, commissions, or monetary or non-monetary benefits in connection with a *firm's* (or its *associate's*) business of providing a *targeted support service* or any other related services where the following conditions are met:

- (1) such business or related service relates exclusively to annuities (as defined in *COBS 9B.4.26R*);
- (2) the business or related service is conducted in accordance with *COBS 9B.4.28R* to *COBS 9B.4.37G*; and
- (3) the fee, commission, or monetary or non-monetary benefit is received by the *firm* as a result of a referral to a whole of market annuity brokerage service made in accordance with *COBS 9B.4.33R* and *COBS 9B.4.35R*.

COBS 9B.8.5

G

Firms are reminded that the payment or acceptance of any fee, commission, or monetary or non-monetary benefit permitted by the *rules* in this section is subject to the rules on inducements in *COBS 2.3* and *COBS 2.3A* (as applicable).

COBS 9B.8.6

G

In relation to the acceptance of minor non-monetary benefits, a *firm* should have regard to the *guidance* at *COBS 6.1A.5BG*.

Firms which do not charge for targeted support

COBS 9B.8.7

R

- (1) This *rule* applies to a *firm* that does not charge the *client* a fee for the provision of a *targeted support service*.
- (2) A *firm* must ensure that the arrangements by which it is remunerated for the provision of its *targeted support service* are consistent with its obligation to ensure that its *products* provide fair value (*PRIN 2A.4.2R*).

Disclosing any difference in charges as a result of targeted support

COBS 9B.8.8

R

- (1) This *rule* applies where the costs and charges associated with an investment that is the subject of a *ready-made suggestion* differ as between:
 - (a) a *client* who buys or subscribes for that investment having received a *targeted support service*; and

(b) a *client* who buys or subscribes for that investment without having received a *targeted support service*.

(2) In complying with its obligation to ensure that its *client* is equipped to make properly informed decisions, a *firm* providing the *ready-made suggestion* must clearly disclose to the *client* the nature and extent of the difference in (1).

(3) The *firm* must make the disclosure in (2):

(a) when it communicates the *ready-made suggestion* to the *client*; or

(b) if earlier, when it provides relevant information about costs and charges to the *client* in compliance with requirements in this sourcebook.

Charging for targeted support

COBS 9B.8.9

R

(1) This *rule* applies to a *firm* that charges a *client* in relation to the provision of a *targeted support service*.

(2) A *firm* must ensure that:

(a) any charges which it applies to the provision of a *targeted support service* are consistent with its obligation under *PRIN 2A.4.2R* to ensure that a *product* provides fair value; and

(b) it provides *clients* with sufficient information about those charges as to meet its obligation under *PRIN 2A.5.3R* to meet the information needs of *clients*.

(3) As early as practicable before the *firm* provides a chargeable *targeted support service*, any charge(s) relating to the provision of that service must be disclosed to, and agreed with, the *client*.

(4) The disclosure required by (3) must be in:

(a) *cash terms* (or convert non-cash terms into illustrative cash equivalents); and

(b) a *durable medium*, or through a website (if it does not constitute a *durable medium*) if the *website conditions* are satisfied.

COBS 9B.8.10

G

(1) In determining and disclosing its charges for the provision of a *targeted support service*, a *firm* should also have regard to its duties under the *client's best interests rule* and the *fair, clear and not misleading rule*.

(2) In particular, a *firm* should not vary its charges for the provision of a *targeted support service* inappropriately according to provider or, for substitutable and competing products, the type of product.

COBS 9B.8.11

G

In determining its approach to charging for a *targeted support service*, a *firm* may find it helpful to consider the *rules* and related *guidance* around using an appropriate charging structure for calculating *adviser charges* (*COBS 6.1A.11R* to *COBS 6.1A.15G*).

COBS 9B.8.12

G

COBS 9B.8.8R and *COBS 9B.8.9R* are without prejudice to any other obligation of a *firm* to provide a *client* with information about the costs and charges of products and services.

Other relevant requirements



Firms are reminded of their obligations:

- (1) relating to the identification and management of conflicts of interest under **SYSC 3.3** (for *insurers*) and **SYSC 10** (for other *firms*);
- (2) to act honestly, fairly and professionally in accordance with the best interests of their *clients* (**COBS 2.1.1R**);
- (3) under the rules on inducements in **COBS 2.3** and **COBS 2.3A**, in so far as they relate to the payment or provision of monetary and non-monetary benefits;
- (4) in **COBS 6.1** and **COBS 6.1ZA** in relation to the disclosure of information, including concerning a *firm's* costs and charges; and
- (5) for *life policies*, the *rules* in **COBS 7.3** in relation to demands and needs.

Section : COBS 9B.9 Issuer and product provider requirements relating to charging and remuneration

COBS 9B.9.1	G	COBS 9B.2.1R(2) specifies that this section applies to a <i>firm</i> which is an <i>issuer</i> or product provider.
COBS 9B.9.2	G	The <i>rules</i> applicable to <i>retail investment product</i> providers relating to adviser charging and remuneration (COBS 6.1B) do not apply in circumstances where a <i>retail client</i> receives a <i>targeted support service</i> .
COBS 9B.9.3	R	(1) A <i>firm</i> must not offer or pay (and must ensure that none of its <i>associates</i> offers or pays) any fees, commissions, or monetary or non-monetary benefits to another <i>firm</i>, or to any other third party for the benefit of that <i>firm</i>, in connection with that <i>firm's</i> business of providing a <i>targeted support service</i> (or any related services). (2) Paragraph (1) does not apply to: (a) payments made on behalf of a <i>client</i> (including those that facilitate the payment of a charge for the provision of a <i>targeted support service</i> from a <i>client's</i> investment); (b) payments to an <i>affiliated company</i> which are no more than is reasonably representative of the cost of that <i>affiliated company</i> providing its <i>targeted support service</i>; or (c) minor non-monetary benefits which meet the requirements of COBS 6.1A.5AR.
COBS 9B.9.4	R	COBS 9B.8.2R(2) and (4) also apply for the purpose of COBS 9B.9.3R.

Section : COBS 9B.10 Systems and controls

Policies and procedures

- COBS 9B.10.1** R A *firm* must establish and maintain systems and controls to ensure compliance with the requirements in this chapter relating to the design and delivery of a *targeted support service*.
- COBS 9B.10.2** G In addition, *firms* are reminded:
- (1) of their obligations in *SYSC* to implement and maintain relevant systems, controls, policies and procedures, which should be sufficient to enable *firms* to ensure compliance with the *rules* in this chapter; and
 - (2) that in considering the competence and capabilities of relevant individuals involved in the design and delivery of a *targeted support service*, they should consider relevant provisions, including in *SYSC 3.1* (Systems and controls), *SYSC 5.1* (Skills, knowledge and expertise) and *TC*.
- COBS 9B.10.3** G In complying with its obligations under *SYSC* and *TC*, a *firm* should ensure that *employees* involved in the design or delivery of a *targeted support service* are appropriately trained, supervised and supported, in particular so as to be able to:
- (1) identify when a *client* can be aligned with a *consumer segment*; and
 - (2) appropriately consider, and respond to, any information provided by a *client* which is beyond that necessary to determine whether the *client* aligns with a *consumer segment*.

Ongoing monitoring and review (general)

- COBS 9B.10.4** G As part of a *firm's* general obligation to monitor the outcomes that *retail customers* experience from its products (*PRIN 2A.9.1R* and *PRIN 2A.9.8R*), a *firm* should particularly monitor the outcomes which are generated by its *targeted support service*. In particular, a *firm* should use this monitoring to:
- (1) identify whether the *targeted support service* is consistent with delivering good outcomes including that, at the point at which the service is delivered to *clients*, the *firm* has properly addressed the risk of *ready-made suggestions* leading to harm as a result of:
 - (a) the *firm's* design of its *consumer segments*;
 - (b) the specification of the *firm's ready-made suggestions*;
 - (c) the *firm's* processes to align *clients* with *consumer segments*; or
 - (d) the *firm's ready-made suggestions* no longer being suitable for individuals in the relevant *consumer segment*;
 - (2) understand whether *clients* in particular situations or with particular characteristics are routinely unable to be aligned with a *consumer segment* to inform the potential development of new *consumer segments*; and
 - (3) consider whether any product being used for a *ready-made suggestion* remains aligned with the relevant *consumer segment* including, for example, where the product

manufacturer has made a significant adaptation to that product.

COBS 9B.10.5

G

The requirements to monitor outcomes in this chapter:

- (1) do not require a *firm* that provides a *targeted support service* to undertake ongoing suitability assessments (including the periodic reviews of product suitability set out in *COBS 9* and *COBS 9A*) for *clients* who have previously received a *targeted support service* (unless the *firm's* service to the *client* includes periodic assessment of suitability);
- (2) take account of how *firms* should be acting in relation to their *targeted support service* in light of what is required of these *firms* under *PROD 3*, *PROD 4* and *PRIN 2A* (as applicable) where they are also *manufacturers* or *distributors* of *designated investments* that are included in *ready-made suggestions*.

Ongoing monitoring and review (products recommended in ready-made suggestions)

COBS 9B.10.6

R

A *firm* must, in relation to a product that has been or may be recommended in a *ready-made suggestion*, have appropriate arrangements in place to:

- (1) review information made available to it by the *manufacturer* of the product in relation to:
 - (a) any significant adaptation to the product; or
 - (b) mitigating actions a product *manufacturer* has taken or proposes to take in relation to the product; and
- (2) consider whether any circumstances in (1) mean the product should no longer be recommended in that *ready-made suggestion*.

COBS 9B.10.7

G

- (1) Where a *distributor* recommends a product as part of a *targeted support service*, it will need to ensure the arrangements it has to meet requirements in *PRIN 2A.3*, *PRIN 2A.4*, *PROD 3* and/or *PROD 4* enable it to obtain all necessary information from the product *manufacturer* to understand the product, including its features, risks and costs.
- (2) For the purposes of *COBS 9B.10.6R(1)*, *firms* should have in place arrangements with the product *manufacturer* to obtain information about any significant adaptation to the product within the meaning of *PRIN 2A.3*, *PROD 3* or *PROD 4* (as appropriate).
- (3) When considering whether a significant adaptation (or other change) to a product means that it should no longer be recommended in a *ready-made suggestion*, *firms* should take into account the potential impact it could have on individuals in the *consumer segment* – for example, the effect of features being added to, or removed from, the product or changes to the target market.

COBS 9B.10.8

G

- (1) *Firms* should consider whether any information they receive from product *manufacturers* is relevant to their monitoring obligations under *PRIN 2A* (or, where relevant, under *PROD*) and indicates any circumstances that would require the *firm* to be taking appropriate action, for example under *PRIN 2A.9.12R*.
- (2) *Firms* should consider what action is appropriate in light of the situation identified. For

example, in certain circumstances, the specific information may mean the *firm* should consider, where it is appropriate, notifying the *client* of any changes to the product, and prompting them to consider taking further action including potentially a further *targeted support service* (including from the *firm*) or other advice, to enable the *client* to take appropriate steps.

Regular review

COBS 9B.10.9

R

A *firm* must review its processes for the provision of its *targeted support service*, including the *ready-made suggestions*:

- (1) regularly; and
- (2) with appropriate frequency.

COBS 9B.10.10

G

When undertaking the review in *COBS 9B.10.9R*, a *firm* should at least consider whether to update its *consumer segments* to reflect any gaps that have been identified. This might include when a *firm* has been unable to provide a *ready-made suggestion* to a *client* because it was not able to align that *client* with a *consumer segment*.

COBS 9B.10.11

G

The frequency with which the review in *COBS 9B.10.9R* is undertaken should be determined having regard to such matters as:

- (1) the *consumer segments* the *firm* has created, including the complexity of those *consumer segments*;
- (2) the complexity of the *ready-made suggestions* provided as part of the *targeted support service*;
- (3) the number of *clients* to whom the *firm* has offered its *targeted support service*;
- (4) the nature of the *products* distributed in connection with the *ready-made suggestions*; and
- (5) any other relevant external factors such as:
 - (a) changes to the relevant regulatory requirements, including to the *FCA Handbook*;
 - (b) relevant technological developments; and
 - (c) relevant changes to the market.

Record-keeping

COBS 9B.10.12

G

- (1) *SYSC 3* and *SYSC 9* (as applicable) contain high level requirements in relation to record keeping.
- (2) *Firms* should ensure that the records which they retain are sufficient to enable the *FCA* to monitor the *firm's* compliance with the requirements in this chapter relating both to the design and delivery of their *targeted support services*.